SCHEME OF AMALGAMATION

BETWEEN

STANLEY OEM SOFAS LIMITED
("TRANSFEROR COMPANY NO. 1")

AND

STANLEY RETAIL LIMITED
("TRANSFEROR COMPANY NO. 2")

AND

SANA LIFESTYLES LIMITED
("TRANSFEROR COMPANY NO. 3")

AND

STARAS SEATING PRIVATE LIMITED
("TRANSFEROR COMPANY NO. 4")

AND

SHRASTA DECOR PRIVATE LIMITED
("TRANSFEROR COMPANY NO. 5"),

WITH

STANLEY LIFESTYLES LIMITED

("TRANSFEREE COMPANY")

AND THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

UNDER SECTION 233 OF THE COMPANIES ACT, 2013 READ WITH RULE 25 OF (COMPROMISES, ARRANGEMENTS AND AMALGAMATIONS) RULES, 2016 AND REGULATION 37 OF SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015

1. PREAMBLE

This Scheme of Amalgamation is presented under the provisions of Section 233 of the Companies Act, 2013 read with Rule 25 (Compromises, Arrangements and amalgamations) Rules, 2016, as amended from time to time under the Fast Track route for amalgamation of Stanley OEM Sofas Limited **("Transferor Company No. 1")**, Stanley Retail Limited **("Transferor Company No. 2")**, being wholly owned subsidiaries of Stanley Lifestyles Limited, and SANA Lifestyles Limited

("Transferor Company No. 3"), Staras Seating Private Limited **("Transferor Company No. 4")** and Shrasta Décor Private Limited **("Transferor Company No. 5")**, being step-down subsidiaries of Stanley Lifestyles Limited, with Stanley Lifestyles Limited **("Transferee Company")** and their respective shareholders and creditors.

2. BACKGROUND AND DESCRIPTION OF COMPANIES

(A) TRANSFEROR COMPANY:

(i) **STANLEY OEM SOFAS LIMITED ("Transferor Company No. 1")** a private company limited by shares bearing Corporate Identification Number (CIN) U74900KA2015PLC084973 was incorporated on 30th day of December, 2015, under the Companies Act, 2013. The Registered Office of the Company is situated at Plot No. 52, 66 & 67, Bommasandara Jigani, Link Road, Jigani Industrial Area, Anekal Talu, Bangalore-562106, Karnataka, India. The shares of the Company are not listed on any of the stock exchanges. The main object of the company as per Memorandum of Association is described below:

a) *To carry on the business of, processors, manufacturing ,importers, exporters, buyers, sellers, stockists, dealers, commission agents for sofas, Leather Furniture, Office Chairs, Office Systems, Tables & Accessories leather hides & skins, adhesives, and formulations of all kinds products of leather goods, such as industrial and textiles leather goods, sports, goods, fancy leather articles, tables of any kind, interior decoration articles, accessories, fittings; made of leather and other materials, floor coverings; car seatings, car accessories; and allied activities.*

b) *To Carry on the business of, importers, exporters, buyers, sellers, stockists, dealers, commission agents, repairers in all kinds of footwear articles, stationery items, novelties, travel accessories and to act as consultants for the above industries and components of leather, rubber, plastic goods, lasts, books trees, laces, buckles, leggings, boot polishers, purses, bags, boxes, belts, watch straps and accessories and fittings made in any material. To purchase, sell, import, export, repair, manufacture or otherwise deal in all types of machines used in textile business as footwear and leather making machines, sewing*

cutting finishing machines, tools and implements relating to the above objects, and so carry on retail, importers, exporters, buyers, sellers, or all types of merchandise and goods.

c) *To carry on the business of importers and exporters, wholesale and retail dealers of and in men's, woman's and children's wearing apparel of every kind, nature and description made out of leather, fabric, hosiery material or a combination. Non-woven and synthetic fabrics, poromeric leather, leatherette, natural and modified cellulose, laminated products, printed or woven fabrics, papers, pulps and products thereof and to carry on the business of manufacture, dealers, importers, and exporters, wholesale or retail of all types of furniture made from wood, brass, steel, fiber glass, plastics or other alloys and handicrafts or otherwise of house of furniture's upholsters and dealers in and hirers, repairers, cleaners, stores and warehouse of furniture, carpet, linoleums, furnishing. fabrics, and other floor coverings, household utensils, chine and glass goods fittings colorful curtains, handmade home furnishings and carpets, table lamps, household requisites of all kinds and all things capable of being used therewith or in the maintenance, repair thereof.*

Email Id: compliance@stanleylifestyles.com

Website: NA

(ii) **STANLEY RETAIL LIMITED** **("Transferor Company No. 2")** a private company limited by shares bearing Corporate Identification Number (CIN) U52599KA2008PLC046573 was originally incorporated on 26th day of May, 2008, under the Companies Act, 1956 and validly subsisting within the meaning of the Companies Act, 2013. The Registered Office of the Company is situated at SY No.16/2 and 16/3 Part, Hosur Road, Veerasandra Village, Attibele Hobli, Anekal Taluk, Bangalore-560100, Karnataka, India. The shares of the Company are not listed on any of the stock exchanges. The main object of the company as per Memorandum of Association is described below:

(1) To Carry on the business of, processors, importers, exporters, buyers, sellers, stockists, dealers, commission agents for leather hides & skins, adhesives, Leather Furniture, Office Chairs, Office Systems, Tables & Accessories and

formulations of all kinds products of leather goods, such as industrial and textiles leather goods, sports, goods, fancy leather articles.

(2) To carry on the business of, importers, exporters, buyers, sellers, stockists, dealers, commission agents, repairers in all kinds of footwear articles, stationery items, novelties, travel accessories and to act as consultants for the above industries and components of leather, rubber, plastic goods, lasts, boots trees, laces, buckles, leggings, boot polishers, purses, bags, boxes, belts, watch straps and accessories and fittings made in any material, to purchase, sell, import, export, repair, manufacture or otherwise deal in all types of machines used in textile business as footwear and leather tanning machines, sewing, cutting finishing machines, tools and implements relating to the above objects, and to carryon retail, importers, exporters, buyers, sellers, of all types of merchandise and goods.

(3) To carry on the business of importers, and exporters, wholesale and retail dealers of and in men's, woman's and children's wearing apparel of every kind, nature and description made out of leather, fabric, hosiery material or a combination. Non-woven and synthetic fabrics, poromeric leather, leatherite, natural and modified cellulose, laminated products, printed or woven fabrics, papers, pulps and products thereof and to carry on the business of manufacture, dealers, importers and exporters, wholesale or retail of all types of furniture made from wood, brass, steel, fiber glass, plastics or other alloys and handicrafts or otherwise of house of furniture's, upholsters and dealers in and hirers, repairers, cleaners, stores and warehouse of furniture, carpet, linoleums, furnishing fabrics, and other floor coverings, household utensils, chine and glass goods fittings, colourful curtains, handmade home furnishings and carpets, table lamps, household requisites of all kinds and all things capable of being used therewith or in the maintenance, repair thereof.

Email Id: compliance@stanleylifestyles.com

Website: NA

(iii) **SANA LIFESTYLES LIMITED** **("Transferor Company No. 3")** a private Company limited by shares bearing Corporate Identification Number (CIN) U74999KA2011PLC060059) was originally incorporated on 19th day of

August, 2011, under the Companies Act, 1956 and validly subsisting within the meaning of the Companies Act, 2013. The Registered Office of the Company is situated at SY No.16/2 and 16/3 Part, Hosur Road, Veerasandra village, Attibele Hobli, Anekal Taluk, Bangalore- 560100, Karnataka, India. The shares of the Company are not listed on any of the stock exchanges. The main object of the company as per Memorandum of Association is described below:

(1) To carry on the business as interior decorators, exterior decorators, whether involving civil, mechanical, environmental and/or electrical engineering or otherwise, furnishers, and upholsterers and otherwise to deal in carpets, linoleums, floor coverings, furnishing fabrics, floor decoration material, household furniture of all types, utensils, antiques, glass goods, fittings, curtains, decorative wall paper, panel rods, grills, door closures, partitions, laminates, plant holders, sun films, designer doors and all other furnishing or interior decorative material.

(2) To carry on the business of, processors, importers, exporters, buyers, sellers, stockists, dealers, retailers, commission agents for leather hides & skins, adhesives, Leather Furniture, Chairs, Tables & Accessories and formulations of all kinds products of leather goods, such as industrial and textiles leather goods, sports goods, fancy leather articles, which can be used in interior decoration.

(3) *To carry on the business of dealers, importers, and exporters, wholesale or retail of all types of furniture made from wood, brass, steel, fiber glass, plastics or other alloys and handicrafts or otherwise of house of furniture's upholsters and dealers in and hirers, repairers, cleaners, stores and warehouse of furniture, carpet, linoleums, furnishing fabrics, and other floor coverings, household utensils, chine and glass goods fittings colorful curtains, handmade home furnishings and carpets, table lamps, household requisites.*

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Website: NA

(iv) **STARAS SEATING PRIVATE LIMITED ("Transferor Company No. 4")** a private company limited by shares bearing Corporate Identification Number (CIN) U51909MH2005PTC154583 was originally incorporated on 07th day of July, 2005, under the provisions of the Companies Act, 1956 and validly subsisting within the meaning of the Companies Act, 2013. The Registered Office of the Company is situated at Crystal House, Plot No.79, Dr. Annie Besant Road, Worli, Mumbai-400018, Maharashtra, India. The shares of the Company are not listed on any of the stock exchanges. The main object of the company as per Memorandum of Association is described below:

1. *To carry on the business of General Merchant, traders, dealers, importers, exporters, commission agents, brokers, distributors, Indenting agents of all items and merchandise and service and other activities more specifically described in its Memorandum of Association.*

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Website: NA

(v) **SHRASTA DECOR PRIVATE LIMITED ("Transferor Company No. 5")** a private company limited by shares bearing Corporate Identification Number (CIN) U74999KA2017PTC104758 was originally incorporated on 18th day of July, 2017 under the provisions of the Companies Act, 2013. The Registered Office of the Company is situated at First floor, No. 16/3, 16/4 and, 16/5, Veerasandra Village, Anekal Taluk, Hosur Road, Attibele Hobli, Electronics City, Bangalore South, Bangalore 560 100, Karnataka, India. The shares of the Company are not listed on any of the stock exchanges. The main object of the company as per Memorandum of Association is described below:

(1) *To carry on the business of, processors, importers, exporters, buyers, sellers, stockists, dealers, commission agents for leather hides & skins, adhesives, Leather Furniture, Office Chairs, Office Systems, Glass & Crystals, Electrical goods, Kitchen items, Carpets, Ceramic items, Tables & Accessories and formulations of all kinds products of leather goods, such as industrial and textiles leather goods, sports goods, fancy leather articles.*

(2) *To carry on the business of, importers, exporters, buyers, sellers, stockists,*

dealers, commission agents, repairers in all kinds of footwear articles, stationery items, novelties, travel accessories and to act as consultants for the above industries and components of leather, rubber, plastic goods, lasts, boots trees, laces, buckles, leggings, boot polishers, purses, bags, boxes, belts, watch straps and accessories and fittings made in any material to purchase, sell, import, export, repair, manufacture or otherwise deal in all types of machines used in textile business as footwear and leather tanning machines, sewing, cutting finishing machines, tools and implements relating to the above objects, and to carry on retail, importers, exporters, buyers, sellers, of all types of merchandise and goods.

(3) *To carry on the business of importers, and exporters, wholesale and retail dealers of and in men's, woman's and children's wearing apparel of every kind, nature and description, made out of leather, fabric, hosiery material or a combination. Non-woven and synthetic fabrics, polymeric leather, leatherine, natural and modified cellulose, laminated products, printed or woven fabrics, papers, pulps and products thereof and to carry on the business of manufacture, dealers, importers and exporters, wholesale or retail of all types of furniture made from wood, brass, steel, fiber glass, plastics or other alloys and materials or otherwise of house furniture's, upholsterers and dealers in and hirers, repairers, cleaners, stores and warehouse of furniture, carpet, linoleums, furnishing fabrics, and other floor coverings, household utensils, china and glass goods fittings, colourful curtains, handmade home furnishings and carpets, table lamps, household requisites of all kinds and all things capable of being used therewith or in the maintenance, repair thereof.*

Email Id: compliance@stanleylifestyles.com

Website: NA

(B) TRANSFEREE COMPANY:

STANLEY LIFESTYLES LIMITED, a listed public company limited by shares bearing Corporate Identification Number (CIN) L19116KA2007PLC044090 was originally incorporated on 11th day of October, 2007, under the Companies Act, 1956 and validly subsisting within the meaning of the Companies Act, 2013. The Registered Office of

the Company is situated at SY No.16/2 and 16/3 Part, Hosur Road, Veerasandra Village, Attibele Hobli, Anekal Taluk, Bangalore-560100, Karnataka, India. The shares of the Company are listed on National Stock Exchange of India Limited ("NSE") and BSE Limited ("BSE"). The main object of the company as per Memorandum of Association is described below:

(1) To Carry on the business of manufacturers, processors, importers, exporters, buyers, sellers, stockists, dealers, commission agents for leather hides & skins, adhesives and formulations of all kinds products of leather goods such as industrial and textile leather goods, sports, goods, fancy leather articles, and to take over the partnership business of STANLEY SEATING, Bangalore by the way of Registration as a Limited Company pursuant to Section 565 and 567 of the Companies Act, 1956. (Under Chapter IX of the Companies Act, 1956) [[1]Companies Act 2013 and any other law as may be applicable to a Limited Company].

(2) To carry on the business of manufactures, importers, exporters, buyers, sellers, stockists, dealers, commission agents, repairers in all kinds of footwear articles, stationery items, novelties, travel accessories and to act as consultants for the above industries and components of leather, rubber, plastic goods, lasts, boots trees, laces, buckles, leggings, boot polishers, purses, bags, boxes, belts, watch straps and accessories and fittings made in any material, To purchase, sell, import, export, repair, manufacture or otherwise deal in all types of machines used in textile business as footwear and leather tanning machines, sewing, curing finishing machines, tools and implements relating to the above objects.

(3) To carry on the business of manufacturers, importers, and exporters, whole sale and retail dealers of and in men's woman's and children's we: rig apparel of every kind, nature and description made out of leather, fabric, hosiery material or a combination. Non-woven and synthetic fabrics, poromeric leather, leatherite, natural and modified cellulose, laminated products, printed or woven fabrics, papers, pulps and products thereof and to carry on the business of manufacture , dealers, importers and -exporters, wholesale or retail of all types of furniture made from wood, brass, steel, fiber glass, plastics or other alloys and handicrafts or otherwise of house of furniture's, upholsters

and dealers in and hirers, repair cleaners, stores and warehouse of furniture, carpet., linoleums, furnishing fabrics and other floor coverings, household utensils, chine and glass goods fittings, colourful curtains, handmade home furnishings and carpets, table lamps, household requisites of all kinds and all things capable of being used therewith or in the maintenance, repair thereof.

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C. This Scheme of Amalgamation provides for the Amalgamation of the Transferor Companies with the Transferee Company pursuant tosection 233 of the Companies Act, 2013 and other relevant provisions read with the companies (Compromise, Arrangements and Amalgamation) Rule, 2016 and Regulation 37 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further, the Transferor Company No. 1 and the Transferor Company No. 2 are wholly owned subsidiaries of the Transferee Company and the Transferor Company No. 3, the Transferor Company No. 4 and the Transferor Company No. 5 are the step down wholly owned subsidiaries of Transferee Company. Consequently, the proposed amalgamation falls within the ambit of, and is permissible under Rule 25(1A)(v) of the Companies (Compromises, Arrangements and Amalgamations) Rule, 2016.

3. RATIONAL FOR THE SCHEME

The Transferor Companies and the Transferee Company have common shareholder and directors. The Amalgamation of Transferor Company with the Transferee Company would *inter alia* have following benefits:

a. The amalgamation will enable pooling of resources of the companies involved in amalgamation to their common advantage, resulting in more productive utilization of the said resources and achieving economies of scale resulting into cost and operational efficiencies, which would be beneficial for all the stakeholders. This arrangement would bring concentrated

management focus, integration, streamlining of the management structure, and seamless implementation of policy changes.

b. The amalgamation will enable further expansion of the Transferee Company and provide a strong and focused base to undertake the business more advantageously. Further, this arrangement shall help enhance the efficiency and control of the Transferor Company and Transferee Company as both the companies are under the same management.

c. The proposed Amalgamation will provide greater integration and flexibility to the Transferee Company and strengthen its position in the industry, in terms of the asset base, revenues, product and service range.

d. Cost savings are expected to flow from more focused operational efforts, rationalization, standardization and simplification of business processes, and the elimination of duplication, and rationalization of administrative expenses.

e. Simplifying corporate governance procedures, resulting in structural efficiency, better utilization of capital and a simplified business structure.

f. The amalgamation would help avoid duplication of regulatory and procedural compliances and consequently result into saving of time, resources and cost involved in such compliances. The synergies created by scheme of amalgamation would increase operational efficiency and integrate business functions. It will provide several benefits including consolidating financial resources, simplifying shareholding structure, streamlined group structure by reducing the number of legal entities, more effective and centralized management of funds, reducing the multiplicity of legal and regulatory compliances;

In view of the aforesaid, The Board of Directors of the Transferor Companies and the Transferee Company have considered and proposed the amalgamation of the entire undertaking, operations and businesses of the Transferor Company with the Transferee Company in order to benefit the stakeholders of all the Companies. Accordingly, the Board of Directors of the Transferor Company and the Transferee Company have formulated this scheme of Amalgamation for the transfer and vesting of entire undertaking and business of the Transferor

Company with and into the Transferee Company pursuant to the provisions of section 233 and other relevant provisions of the Act.

In terms of Rule 25(1A)(iv) of The Companies (Compromises, Arrangements and amalgamations) Rules, 2016, a listed holding company is permitted to amalgamate with one or more unlisted subsidiary companies under the fast track merger route, provided that the transferor companies are unlisted. Since all the Transferor Companies under this Scheme are unlisted subsidiaries of the Transferee Company, the Scheme squarely falls within the ambit of the amended Rule 25. The Scheme shall also comply with Regulation 37 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and necessary intimation shall be made to the Stock Exchanges for their comments and observations within the prescribed period

4. PARTS OF THE SCHEME:

This scheme of Amalgamation is divided into the following parts

i. **Part I** deals with definition of the terms used in the scheme of Amalgamation and sets out the share capital of the Transferor Companies and the Transferee Company;

ii. **Part II** deals with the Transfer and vesting of Undertaking (as hereinafter defined) of the Transferor Companies to and in the Transferee Company;

iii. **Part III** deals with the accounting treatment of the amalgamation in the books of the Transferee Company.

iv. **Part IV** deals with the dissolution of the Transferor Company and the general terms and conditions applicable to this scheme of amalgamation and other matters consequential and integrally connected thereto.

A. The amalgamation of the Transferor Companies with the Transferee Company, pursuant to and in accordance with this Scheme, shall take place with effect from the Appointed Date and shall be in accordance with the relevant provisions of the Income Tax Act, 1961 including but

not limited to Section 2(1B) and Section 47 thereof.

PART I

DEFINITIONS AND SHARE CAPITAL

(1) DEFINITIONS

In this scheme, unless repugnant to the meaning or context thereof, the following expressions shall have the following meaning:

(a) **"Act"** means the Companies Act, 2013 the rules and regulations made thereunder and will include any statutory re-enactment or amendment(s) thereto, from time to time;

(b) **"Appointed Date"** means 01st April, 2026 or such other date as the Competent Authority may direct.

(c) **"Board of Directors"** or **"Board"** in relation to each of the Transferor Company and Transferee Company as the case may be, means the Board of Directors of such Company(s) and shall include a Committee duly constituted and authorized for the purposes of matters pertaining to the amalgamation, the Scheme and/or any other matter relating thereto.

(d) **"Company"** means the Transferor Companies and the Transferee Company referred collectively.

(e) **"Competent Authority"** means the Regional Director, Ministry of Corporate Affairs, having jurisdiction over the Transferor Companies and Transferee Company under the Act.

(f) **"Effective Date"** means the last of the dates on which the certified copies or the authenticated copies of the order of Competent Authority sanctioning of the Scheme, are filed with the Respective Registrar of Companies by the Transferor Company and the Transferee Company. Any reference to this scheme to the date of **"coming into effect of this scheme"** or **"effective date of this scheme"** or **"scheme taking effect"**, shall means the effective date;

(g) **"Governmental Authority"** means any applicable central, state or local government, legislative body, regulatory or administrative authority, agency or commission or any court, tribunal, board, bureau or instrumentality thereof or arbitration or arbitral body having jurisdiction over the territory of India including but not limited to Securities and Exchange Board of India, Stock Exchanges, Regional Director, Registrar of Companies, Competition Commission of India, National Company Law Tribunal (to be constituted under Company Act, 2013);

(h) **"IND AS"** shall mean the Indian Accounting Standards notified under Section 133 of the Act, 2013 read with the Companies (Indian Accounting Standards) Rules, 2015, as may be amended from time to time.

(i) **"Employees"** means the staff, workman and employees on the pay roles of the Transferor Companies.

(j) **"Registrar of Companies"** or **"ROC"** means Registrar of Companies having jurisdiction over the Transferor Companies and Transferee Company under the Act;

(k) **"Scheme"** means this scheme of amalgamation, as amended or modified in accordance with the provisions thereof.

(l) **"SEBI"** means the Securities and Exchange Board of India established under the Securities and Exchange Board of India Act, 1992;

(m) **"Stock Exchange"** means BSE Limited (BSE) and National Stock Exchange of India Limited (NSE);

(n) **"The Transferor Companies"** means Stanley OEM Sofas Limited **("Transferor Company No. 1"),** Stanley Retail Limited **("Transferor Company No. 2"),** SANA Lifestyles Limited **("Transferor Company No. 3"),** Staras Seating Private Limited **("Transferor Company No. 4")** and Shrasta Décor Private Limited **("Transferor Company No. 5")**

(o) **"The Transferee Company"** means **STANLEY LIFESTYLES LIMITED**

(CIN: L19116KA2007PLC044090) incorporated on 11th October, 2007, under the Companies Act, 1956. The Registered Office of the Company is situated at SY No.16/2 and 16/3 Part, Hosur Road, Veerasandra Village, Attibele Hobli, Anekal Taluk, Bangalore-560100, Karnataka, India

(p) **"Undertaking"** means the whole undertaking and the entire business of the Transferor Companies as going Concern, including (without limitation) as on the Appointed Date and with effect from the Appointed Date and upon the Scheme becoming effective:

(i) All assets and properties of the Transferor Company including but not limited to all the undertakings, the entire business, all the properties (tangible or intangible), offices, residential and other premises, capital work in progress, furniture, fixture, office equipment, investments of all kinds and in all forms, cash balances with banks, loans, advances, contingent rights or benefits, receivables, benefit of any deposits, financial assets, benefit of any security arrangements, reversions, powers, authorities, allotments, approvals, permissions, permits, rights, entitlements, guarantees, authorizations, approvals, agreements, contracts, licenses, registrations, tenancies, benefits of all taxes right to carry forward and set off unabsorbed losses and depreciation, privileges and rights under State tariff regulations and under various laws, avail of telephones, telexes, facsimile, email, interest, electricity and other services, reserves, provisions, funds, benefits of all agreements, all records, files, papers, computer programs, manuals, data, and other records, and all other interests of whatsoever nature belonging to or in the ownership, power, possession or control of or vested in or granted in favor of or held for the benefit of or enjoyed by the Transferor Company or which have accrued to the Transferor Company as on the Appointed Date, whether in India or abroad, of whatsoever nature and wherever situated (hereinafter referred to as the "Assets");

(ii) All liabilities including, without being limited to, secured and unsecured debts (whether in Indian rupees or foreign currency),

sundry creditors, liabilities, bank loans, (including contingent liabilities), duties and obligations of the Transferor Company, of every kind, nature and description whatsoever and howsoever arising, raised or incurred or utilized;

(iii) All agreements, rights, contracts, entitlements, permits, licenses, approvals, authorizations, concessions, consents, quota rights, engagements, arrangements, authorities, allotments, security arrangements (to the extent provided herein), benefits of any guarantees, reversions, powers and all other approvals of every kind, nature and description whatsoever relating to the business activitiesand operations of the Transferor Company;

(iv) All earnest monies and/or security or other deposits paid by the Transferor Company.

(v) All permanent employees engaged by the Transferor Company as on the Effective Date.

(vi) All quotas, rights, entitlements, export/import incentives and benefits including advance licenses, bids, tenders (at any stage as it may be), letters of intent, expressions of interest, development rights (whatever vested or potential and whether under agreements or otherwise), subsidies, tenancies in relation to office, benefit of any deposits privileges, all other rights, receivables, powers and facilities of every kind, nature and description whatsoever, rights to use and avail of telephones, telexes, facsimile connections and installations, utilities, electricity and other services, provisions and benefits of all agreements, contracts and arrangements, including technological licensing agreements, and all other interests in connection with or relating thereto;

(vii) All intellectual property rights, trade marks created, developed or invented by employees concentrated on the research, development or marketing of products (including process development or enhancement) in connection with the Transferor Company;

STANLEY OEM SOFAS LTD. Bangalore

STANLEY LIFESTYLES LIMITED Bangalore

SHRASTA DECOR PRIVATE LIMITED

STARAS SEATING PVT. LTD. MUMBAI

(viii) All benefits and privileges under letters of permission and letters, of approvals in respect all tax credits, including GST credits, refunds; reimbursements, claims, exemptions, benefits under purchase tax, sales tax, input credit under GST or any other duty or tax or cess or imports under central or state law including sales tax deferrals, advance taxes, tax deducted at source, tax credits, right to carry forward and set-off unabsorbed losses, if any and depreciation, deductions and benefits under the Income-tax Act, 1961, as well as any recognition of the In-house Research and Development unit with the Department of Scientific & Industrial Research or any Government Authority;

(ix) All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning as ascribed to them under the Act and other applicable laws, rules, regulations and byelaws, as the case may be, or any statutory amendment(s) or re-enactment thereof, for the time being in force.

(2) DATE OF TAKING EFFECT AND OPERATIVE DATE

The Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the Competent Authority or made as per Clause 21 of the Scheme, shall be effective from the Appointed Date but shall be operative from the Effective Date.

(3) SHARE CAPITAL

The Authorised, Subscribed and Paid-up share capital of the Transferor Companies and Transferee Company on 31st March, 2026 was as under.

(i) **STANLEY OEM SOFAS LIMITED** *(Transferor Companies No. 1)*

Particulars	Amount in Rupees
Authorised Share Capital	
40,00,000 Equity Shares of Rs. 10/-- each	4,00,00,000/-
Total	**4,00,00,000/-**
Issued, Subscribed and Paid-up Share Capital	
37,60,000 Equity Shares of Rs. 10/- each	3,76,00,000/-
Total	**3,76,00,000/-**

(ii) **STANLEY RETAIL LIMITED** *(Transferor Companies No. 2)*

Particulars	Amount in Rupees
Authorised Share Capital*	
69,45,774 Equity Shares of Rs. 10/-- each	6,94,57,740/-
Total	**6,94,57,740/-**
Issued, Subscribed and Paid-up Share Capital	
69,45,774 Equity Shares of Rs. 10/- each	6,94,57,740/-
Total	**6,94,57,740/-**

(iii) **SANA LIFESTYLES LIMITED** *(Transferor Companies-3)*

Particulars	Amount in Rupees
Authorised Share Capital	
15,00,000 Equity Shares of Rs. 10/-- each	150,00,000/-
Total	**150,00,000/-**
Issued, Subscribed and Paid-up Share Capital	
2,55,958 Equity Shares of Rs. 10/- each	25,59,580/-
Total	**25,59,580/-**

(iv) **STARAS SEATING PRIVATE LIMITED** *(Transferor Companies-4)*

STANLEY OEM SOFAS LTD Bangalore

STANLEY RETAIL LTD Bangalore

SHARASTA DECOR PRIVATE LIMITED Bangalore

Particulars	Amount in Rupees
Authorised Share Capital	
2,01,000 Equity Shares of Rs. 100/-- each	2,01,00,000/-
Total	**2,01,00,000/-**
Issued, Subscribed and Paid-up Share Capital	
1,85,723 Equity Shares of Rs. 100/- each	1,85,72,300/-
Total	**1,85,72,300/-**

(v) SHRASTA DECOR PRIVATE LIMITED *(Transferor Companies-5)*

Particulars	Amount in Rupees
Authorised Share Capital	
1,00,00,000 Equity Shares of Rs. 10/-- each	10,00,00,000/-
Total	**10,00,00,000/-**
Issued, Subscribed and Paid-up Share Capital	
98,90,000 Equity Shares of Rs. 10/- each	9,89,00,000/-
Total	**9,89,00,000/-**

(vi) STANLEY LIFESTYLES LIMITED *(Transferee Company)*

Particulars	Amount in Rupees
Authorised Share Capital	
750,00,000 Equity Shares of Rs. 2/-- each	15,00,00,000/-
Total	**15,00,00,000/-**
Issued, Subscribed and Paid-up Share Capital**	
57,107, 158 Equity Shares of Rs. 2/- each	11,42,14,316/-
Total	**11,42,14,316/-**

Subsequent to the date of the aforesaid balance sheet 31st March, 2026, there have been certain changes in the capital structure of the Transferor Company and the Transferee Company, namely:

*the authorised share capital of STANLEY RETAIL LIMITED (Transferor Company-2) has been increased to Rs. 9,00,00,000/-on 23.07.2025 which has been considered for the purpose of determining the authorised share capital under the Scheme; and

**the issued, subscribed and paid-up share capital of STANLEY LIFESTYLES LIMITED (Transferee Company) has increased to Rs. 11,42,51,326.

Further, pursuant to and as an integral part of the Scheme, there shall be a reclassification/sub-division of the face value of shares of the Transferor Companies, as more particularly set out in Clause 5 below.

(4) CONSIDERATION

Since the Transferor Companies are wholly owned subsidiaries and step down subsidiaries of the Transferee Company, all equity shares held by the Transferee Company and its nominee(s) in the Transferor Company shall be automatically cancelled and extinguished, without requiring any further application, act, or deed.

Furthermore, upon the effective implementation of this Scheme, any investments in the Share Capital of the Transferor Companies recorded in the books of the Transferee Company, shall also be automatically cancelled without requiring any additional application, act, instrument or deed.

In view of the aforesaid, no share exchange ratio is required to be determined, and accordingly, no valuation report for the purposes of share swap has been obtained.

However, for the purpose of determining the fair value of the businesses being amalgamated under this Scheme, a valuation certificate has been obtained from Omnifin Valuation Services (OPC) Private Ltd, Registered Valuer for the purpose of determining the fair valuation under this Scheme. Further, a fairness opinion on the said valuation has also been obtained from Corpwis Advisors Private Ltd, a SEBI Registered Merchant Banker bearing Registration No. INM000012962, in accordance with the applicable provisions of the law and regulatory requirements.

(5) RECLASSIFICATION OF SHARES/ SUB-DIVISION CLAUSE

Upon the Scheme becoming effective, the authorised share capital of the Transferor Companies having equity shares of face value of ₹10/- each and ₹100/- each shall stand subdivided/reclassified into equity shares of face value of ₹2/- each respectively, without any further act, deed, matter and no further resolution(s) under Section 13, Section 14, Section 61 or any other applicable provisions of the Companies Act, 2013, shall be required to be separately passed.

Accordingly:

- every 1 (One) equity share of face value ₹10/- each shall stand subdivided into 5 (Five) equity shares of face value ₹2/- each; and
- every 1 (One) equity share of face value ₹100/- each shall stand subdivided into 50 (Fifty) equity shares of face value ₹2/- each.

Pursuant thereto, the authorised share capital of the Transferor Companies shall stand combined with the authorised share capital of the Transferee Company."

(6) INCREASE IN AUTHORISED CAPITAL OF THE TRANSFEREE COMPANY

6.1 Upon the Scheme coming into effect, the authorised share capital of the Transferee Company in terms of its Memorandum of Association and Articles of Association shall automatically stand enhanced without any further act, instrument or deed on the part of the Transferee Company, and the Memorandum of Association and Articles of Association of the Transferee Company shall, without any further act, instrument or deed, be and stand altered, modified and amended, and the consent of the shareholders to the Scheme shall be deemed to be sufficient for the purpose of effecting this amendment, and no further resolution(s) under Section 13, Section 14, Section 61 or any other applicable provisions of the Companies Act, 2013, shall be

required to be separately passed. For this purpose, the filing fees and stamp duty already paid by the Transferor Company on its authorised share capital shall be utilised and applied to the increased share capital of the Transferee Company, and shall be deemed to have been so paid by the Transferee Company on such combined authorised share capital and, accordingly, the Transferee Company shall require to pay only the differential stamp duty or filing fee if any, as per section 232(3) (i) of the Company Act, 2013.

6.2 Accordingly, in terms of this Scheme, the authorised share capital of the Transferee Company shall stand enhanced from Rs. 15,00,00,000/- (Rupees Fifteen Crores only) divided into 7,50,00,000 (Seven Crores Fifty Lakhs) equity shares of Rs. 2/- each to Rs. 41,51,00,000/- (Rupees Forty One Crores Fifty One Lakhs only) divided into 20,75,50,000 (Twenty Crores Seventy Five Lakhs Fifty Thousand) equity shares of Rs. 2/- each, by addition of the authorised share capital of the Transferor Companies pursuant to this Scheme, and consequently, the Capital Clause being Clause V of the Memorandum of Association of the Transferee Company shall stand substituted to read as follows:

"V. ***The Authorised Share Capital of the Company is Rs. 41,51,00,000/- (Rupees Forty One Crores Fifty One Lakhs only) divided into 20,75,50,000 (Twenty Crores Seventy Five Lakhs Fifty Thousand) equity shares of Rs. 2/- each***"

PART II

TRANSFER AND VESTING OF UNDERTAKING

(7) TRANSFER OF UNDERTAKING

7.1 With effect from the Appointed Date and upon the Scheme becoming effective, the Undertaking, pursuant to the sanction of this scheme by Competent Authority under and in accordance with the provisions of section 233 of the Companies Act, 2013 and other applicable provisions, if any, of the Act, shall stand transferred and vested in and/or be deemed to have been transferred to and vested in the Transferee Company as a going concern without any further act, instrument, deed,

matter or thing from the Appointed Date; so as to become estates, assets, rights, title, interests and authorities of the Transferee Companies, by virtue of and in the manner provided in this scheme.

7.2 With effect from the Appointed Date and upon the Scheme becoming effective, all its properties and assets, (whether movable or immovable, tangible or intangible), land and building, plant and machinery, equipment, furniture, fixtures, vehicles, leasehold assets and other properties, real, in possession or reversion, present and contingentassets (whether tangible or intangible) of whatsoever nature, all the debts, liabilities, duties and obligations of the Transferor Companies of every description and also including, without limitation, all the movables and immovable properties and assets of the Transferor Companies comprising amongst other investments, vehicles, furniture and fixtures, computers, office equipment, electrical installations, water connections, telephones, telex, facsimile and other communication facilities and business licenses, permits, authorizations, if any, rights and benefits of all agreements (including all such contracts, scheme, deeds, bonds and other instruments of whatsoever nature to which the Transferor Company is party) and all other interests, rights and powers of every kind, nature and description whatsoever, privileges, liberties, easements, advantages, benefits and approvals, advance and other taxes paid to the authorities, brand names, trademarks, copy rights, lease, tenancy rights, statutory permissions, consents and registrations, and all other Intellectual Property Rights and other intangible assets of whatsoever nature, pursuant to the Order of the Competent Authority and pursuant to provisions of Sections 233 and other applicable provisions of the Companies Act, 2013 and without further act, instrument or deed, but subject to the charges affecting the same be transferred and/or deemed to be transferred to and vested in Transferee Companies on a going concern basis so as to become the assets and liabilities of the Transferee Company.

7.3 In respect of all the movable assets of the Transferor Companies and the assets which are otherwise capable of transfer by physical delivery or endorsement and delivery, including cash on hand, shall be so transferred to Transferee Company and deemed to have been physically

handed over by physical delivery or by endorsement and delivery, as the case may be, to Transferee Company to the end and intent that the property and benefit therein possess to Transferee Company with effect from the Appointed Date.

7.4 In respect of any assets of the Transferor Companies other than those mentioned already mentioned above, including actionable claims, sundry debtors, outstanding loans, advances recoverable in cash or kind or for value to be received and deposits with the Government, Semi-Government, local and other authorities and bodies and customers, the Transferee Company may, issue notices in such form as the Transferee Company may deem fit and proper stating that pursuant to the Competent Authority having sanctioned this Scheme between the Transferor Company and the Transferee Company under Section 233 of the Companies Act, 2013, the relevant debt, loan, advance or other asset, to be or made good or held on accountof the Transferee Company, as the person entitled thereto, to the end and intent that the right of the Transferor Company to recover or realise the same stands transferred to the Transferee Company and that appropriate entries should be passed in their respective books to record the aforesaid changes.

7.5 With effect from the Appointed Date, all debts, liabilities, contingent liabilities, duties and obligations of the Transferor Companies, as on the Appointed Date whether provided for or not in the books of accounts of the Transferor Company and all other liabilities which may accrue or arise after the Appointed date but which relates to the period on or upto the day of the Appointed Date shall, pursuant to the Order of the Competent Authority under section 233 and other applicable provisions of the Companies Act, 2013, without any further act or deed, be transferred or deemed to be transferred to and vested in and assumed by the Transferee Company pursuant to the provisions of Sections 233 of the Companies Act, 2013 (or such other applicable provisions of Companies Act, 2013), so as to become the liabilities of the Transferee Company on the same terms and conditions as were applicable to Transferor Companies.

7.6 The existing securities, mortgages, charges, encumbrances or liens, if

any, as on the Appointed Date and those created by the Transferor Companies after the Appointed Date over the assets of the Transferor Company transferred to the Transferee Company shall, after the Effective Date, continue to relate and attach to such assets or any part thereof to which they are related or attached prior to the Effective Date.

7.7 It is expressly provided that, save as herein provided, no other term or condition of the liabilities transferred to the Transferee Company is modified by virtue of this Scheme except to the extent that such amendment is required statutorily or by necessary implication.

7.8 All the licenses, permits, entitlements, approvals, permissions, registrations, incentives, tax deferrals, exemptions, benefits, subsidies, tenancy rights, liberties, special statues and other benefits or privileges enjoyed or conferred upon or held or availed of by the Transferor Company and all rights and benefits that have accrued or which may accrue to the Transferor Companies whether on, or before or after the Appointed Date including income tax benefits and exemptions, shall under the provisions of Sections 233 of the Companies Act, 2013 (or such other applicable provisions of Companies Act, 2013) and all other applicable provisions of applicable law, if any without any further act, instrument or deed, cost or charge, be and stand transferred to the Transferee Company.

7.9 Without prejudice to the provisions of the forgoing clauses and upon the effectiveness of this scheme, the Transferor Companies and the Transferee Company shall execute all such instruments ordocuments or to do all such acts, deeds, as may be required including filing of necessary particulars and/or modification(s) of charge with the Registrar of Companies to give formal effect to theabove provisions, if required.

7.10 This Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under Section 2(1B) of the Income Tax Act, 1961. If any terms or provisions of the scheme is/are inconsistent with the provisions of the said Section 2(1B), such provisions of the said Section 2(1B) shall prevail and the scheme shall

stand modified to the extent necessary to comply with the said section. Such modification will, however not affect the other parts of the scheme.

(8) CONTRACTS, DEEDS, ETC.

8.1 Upon the Scheme coming into effect, all contracts, deeds, bonds, agreements, schemes, arrangements, assurances and other instrument of whatsoever nature to which the Transferor Companies is party or to the Benefit of which the Transferee Company may be eligible, and which are substituting or have effect immediately before the Effective Date, shall continue in full force and effected by, for or against or in favor of, as the case may be, the Transferee Company and may be enforced as fully, effectually as if, instead of the Transferor Company had been party or beneficiary or oblige or obligor thereto or thereunder.

8.2 Without prejudice to the provisions of this Scheme and notwithstanding the fact of the vesting of Undertaking occurs by virtue of this Scheme itself, the Transferee Company may, any time after coming into effect of this Scheme in accordance with the provisions hereof, if so required under any law or otherwise, takesuch actions and execute such deeds (including deeds of adherence), confirmations or other writings or arrangement to which the Transferor Companies is the Party or any writings as may be necessary in order to give formal effect to the provisions of this Scheme, be deemed to be authorised to execute any of such writings on behalf of the Transferor Company and to carry out or perform all such formalities or compliances referred to above on the part of the Transferee Company.

8.3 For the avoidance of doubt and without prejudice to the generality of the foregoing, it is clarified that upon the coming into effect of this Scheme, all consents, permissions, licences, certificates, clearances, authorities, power of attorney given by, issued to or executed in favor of the Transferor Companies, shall without any further act or deed, stand transferred to the Transferee Company, as if the same were originally given by, issued to or executed in favor of the Transferee

Company, and the Transferee Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Transferee Company. The Transferee Company shall receive relevant approvals for the concerned Government Authorities as may be necessary in this behalf.

(9) LEGAL PROCEEDINGS

9.1 On and form the Appointed Date, all suits, actions, claims and legal proceedings by or against the Transferor Company pending and/or arising on or before Effective Date shall be constituted and/or enforced as desired by the Transferee Company and on or from the Effective Date, shall be continued and/or enforced by or against the Transferee Company as effectually and in the same manner and to the same extent as if the same had been originally instituted and/or pending and/ or arising by or against the Transferee Company. On and From the Effective Date, the Transferee Company shall have the right to initiate, defend, compromise or otherwise deal with any legal proceedings relating to the Undertaking, in the same manner and to same extent as would or might have been initiated by the Transferor Company as the case may be, had the scheme not be made; If any suit, appeal or other proceedings relating to the Undertaking, of whatever nature by or against the Transferor Company be pending, the same shall not be abate or discontinued or in any way be prejudicially affected by reason of the amalgamation of the Undertaking or by anything contained in this Scheme but the proceedings may be continued, prosecuted and enforced by or against the Transferor Company asif the Scheme has not been made.

(10) EMPLOYEES

10.1 All the employees of the Transferor Companies, if any, who are in employment on the date immediately preceding the Effective Date shall, on and from the Effective Date become and be engaged as the employees of the Transferee Company, without any break or interruption in service as a result of the transfer and on terms and conditions not less favourable than those on which they are engaged by the Transferor Company

immediately preceding the Effective Date. Services of the Employees of the Transferor Company shall be taken into account from the date of their respective appointment with the Transferor Company for the purposes of all retirement benefits and all other entitlements for which they may be eligible. Transferee Company further agrees that for the purpose of payment of any retrenchment compensation, if any, such past services with the Transferor Companies shall also be taken into account.

10.2 The services of such employees shall not be treated as being broken or interrupted for the purpose of Provident Fund or Gratuity or Superannuation or other statutory purposes and for all purposes will be reckoned from the date of their respective appointments with the Transferor Company.

10.3 It is provided that as far as the Provident Fund and pension and/or Superannuation Fund or any other special fund created or existing for the benefit of the staff, workmen and other employees of the Transferor Companies are concerned, upon the Scheme becoming effective, Transferee Company shall stand substituted for the Transferor Companies in respect of the employees transferred for all purposes whatsoever relating to the administration or operation of such Funds or Trusts or in relation to the obligation to make contribution to the said Funds or Trust in accordance with the provisions of such Funds or Trust asprovided in the respective Trust Deeds or other documents. It is the aim and the intent of the Scheme that all the rights, duties, powers and obligations of the Transferor Company in relation to such Funds or Trusts shall become those of the Transferee Company. The Trustee including the Board of Directors of the Transferor Company and the Transferee Company or through any Committee/person duly authorised by the Board of Directorsin this regard shall be entitled to adopt such course of action in this regard as may be advised, provided however, that there shall be no discontinuation or breakage in the services of employees ofthe Transferor Company.

10.4 With effect from the first of the dates of filing of this Scheme with Competent Authority and up to and including the Effective Date, the Transferor Company shall not vary or modify the terms and

conditions of employment of any of its employees, except with the written consent of the Transferee Company.

(11) CONDUCT OF BUSINESS UNTIL EFFECTIVE DATE

With effect from the Appointed Date and up to and including the Effective Date:

11.1 Transferor Company shall carry on and shall be deemed to have carried on all its business and activities as hitherto and shall hold and stand possessed of and shall be deemed to have held and stood possessed of the Undertaking on account of, and for the benefit of and in trust for, the Transferee Company.

11.2 All the profits or income accruing or arising to the Transferor Company, and all expenditure or losses arising or incurred (including all taxes, if any, paid or accruing in respect of any profits and income) by the Transferor Company shall, for all purposes, be treated and be deemed to be and accrue as the profits or income or as the case may be, expenditure or losses (including taxes) of the Transferee Company.

11.3 Any of the rights, powers, authorities and privileges attached or related or pertaining to and exercised by or available to the Transferor Company shall be deemed to have been exercised by the Transferor Company for and on behalf of and as agent for the Transferee Company.

11.4 Similarly, any of the obligations, duties and commitments attached, related or pertaining to the Undertaking that have been undertaken or discharged by the Transferor Company shall be deemed to have been undertaken or discharged for and on behalf of and as agent for the Transferee Company.

With effect from the first of the date of filing of this Scheme with the Competent Authority and up to and including the Effective Date:

11.5 The Transferor Company shall preserve and carry on its business and activities with reasonable diligence and business prudence and shall not

undertake any additional financial commitments of any nature whatsoever, borrow any amounts nor incur any other liabilities or expenditure, issue any additional guarantees, indemnities, letters of comfort or commitments either for itself or on behalf of its group Company or any third party or sell, transfer, alienate, charge, mortgage or encumber or deal with the Undertaking or any part thereof save and except in each case in the following circumstances:

11.6 if the same is in its ordinary course of business as carried on by it as on the date of filing this Scheme with Competent Authority; or

11.7 if the same is permitted by this Scheme; or

11.8 if consent of the Board of Directors of the Transferee Company has been obtained.

11.9 The Transferor Company shall not take, enter into, perform or undertake, as applicable (i) any material decision in relation to its business and operations other than decisions already taken prior to approval of the Scheme by the respective Board of Directors (ii) any agreement or transaction; and (iii) any new business, or discontinue any existing business or change the capacity of facilities.:(iv) such other matters as the Transferee Company may notify from time to time save and except in each case in the following circumstances:

(a) if the same is in its ordinary course of business as carried on by it as on the date of filing this Scheme with the Competent Authority; or
(b) if the same is permitted by this Scheme; or
(c) if consent of the Board of Directors of the Transferee Company has been obtained.

(12) <u>TREATMENT WITH TAXES</u>

12.1 This Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under section 2(1B) of the Income Tax Act, 1961. If any terms or provisions of this Scheme are found or interpreted to be

inconsistent with the provisions of the said section at a later date including resulting from an amendment of law or for any other reason whatsoever, the provisions of the said section of the Income Tax Act, 1961 or any other amendment under the law, shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with section 2(1B) of the Income Tax Act, 1961. Such modification will however not affect the other parts of the Scheme.

12.2 Upon the Scheme coming into effect, the Transferee Company through its Board of Directors, or any person(s) or committee authorised/appointed by them, may carry out or assent to any modifications/amendments to the returns and other documents filed by the Transferor Company for periods falling prior to the Appointed Date if required, in relation to taxation and other allied laws, as are considered appropriate by them (i.e., the Board of Directors or the person(s)/committee).

12.3 Tax liabilities under the Income-tax Act, 1961, Goods and Service Tax Act 2017, Customs Act, 1962, any other stamp laws or other applicable laws/ regulations (hereinafter in this Clause referred to as "Tax Laws") dealing with taxes/ duties/ levies allocable or related to the business of the Transferor Company to the extent not provided for or covered by tax provision in the accounts made as on the date immediately preceding the Appointed Date shall be transferred toTransferee Company.

12.4 All taxes (including income tax, Goods and Service Tax, customs duty, etc.) paid or payable by the Transferor Company in respect of the operations and/or the profits of the business on and from the Appointed Date, shall be on account of the Transferee Company and, insofar as it relates to the tax payment (including without limitation income tax, Goods and Service Tax, wealth tax, customs duty, etc.), whether by way of deduction at source, advance tax or otherwise howsoever, by the Transferor Company in respect of the profits or activities or operation of the business on and from the Appointed Date, the same shall be deemed to be the corresponding item paid by the Transferee Company, and shall, in all proceedings, be dealt with accordingly.

12.5 Without prejudice to the generality of the above, it is declared that the various benefits which the Transferor Company is entitled under

incentive schemes including export related incentive schemes and policies under various laws, regulations and notifications, shall be transferred to and vest in the Transferee Company and all benefits, entitlements and incentives of any nature whatsoever including service-tax concessions, and incentives shall be claimed by the Transferee Company and these shall relate back to the Appointed Date as if the Transferee Company was originally entitled to all benefits under such incentive schemes and policies, subject to continued compliance by the Transferee Company of all the terms and conditions subject to which the benefits under the incentive schemes and policies were made available to Transferor Company.

12.6 During the period between the Appointed Date and the Effective Date, the Transferor Companies shall continue to do all acts, necessary and in connection with all tax assessment proceedings/ appeals of whatsoever nature, pending and/or arising by or against the transferor Companies. With Effect from the Effective Date, the Tax proceedings shall be continued and enforced by and against the Transferee Company in accordance with applicable law.

12.7 The Transferee Company shall be entitled to file/revise its income tax, Goods and Service Tax, customs duty etc. returns if required, and shall have right to claim refunds, Goods and Service Tax Credit, or any other credits etc. if any, as may be required, consequent to this Scheme becoming effective.

(13) SAVING OF CONCLUDED TRANSACTIONS

Subject to the terms of this Scheme, the transfer and vesting of the Undertaking of the Transferor Companies under this Scheme shall not affect any transactions or proceedings already concluded by the Transferor Company on or before the Appointed Date or concluded after the Appointed Date till the Effective Date, to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things made, done and executed by the Transferor Company as acts, deeds and things made, done and executed by or on behalf of the Transferee Company.

STANLEY RETAIL PRIVATE LIMITED Bangalore

STANLEY OEM SOFAS LTD. Bangalore

FABINDIA LIFESTYLES PRIVATE LIMITED Bangalore

PART III

(14) ACCOUNTING TREATMENT

14.1 Upon the coming into effect of this Scheme and with effect from the Appointed Date, for the purpose of accounting for and dealing with thevalue of the assets and liabilities in the books of the Transferee Company, all assets and liabilities recorded in the books of the Transferor Company and transferred to and vested in the Transferee Company pursuant to this scheme shall be recorded by the Transferee Company as per the pooling of interest method specified in Indian Accounting Standards (Ind AS) 103 and other applicable Indian Accounting Standards, as amended in terms of Section 133 of the Companies Act, 2013 for the purpose of accounting for amalgamation.

14.2 Subject to provisions of this Scheme, the Transferee Company shall abide by Indian Accounting Standards i.e. Ind AS 103 and others issued by the Ministry of Corporate Affairs.

14.3 The amalgamation of Transferor Company with the Transferee Company in terms of this Scheme shall take place with effect from the Appointed Date and shall be in accordance with the provisions of Section 2(1B) of the Income Tax Act, 1961.

14.4 Inter Company balances shall be cancelled.

14.5 Comparative accounting period presented in the financial statements of Transferee Company shall be restated for the accounting impact of amalgamation, as stated above.

14.6 The identity of reserves of the Transferor Companies, if any, shall be preserved and they shall appear in the financial statements of the Transferee Company in the same form and manner in which they appeared in the financial statements of the Transferor Company prior to this Scheme becoming effective.

14.7 The difference between the amount recorded as share capital issued (plus any additional consideration in the form of cash or other assets) and the amount

of share capital of the Transferor Company should be transferred to capital reserves.

14.8 In case of any differences in accounting policies between the Transferee Company and the Transferor Company, the accounting policies followed by the Transferee Company shall prevail to ensure that the Financial Statements reflect the financial position on the basis of consistent accounting policies.

14.9 If, at the time of the amalgamation, the transferor and the transferee companies have conflicting accounting policies, a uniform set of accounting policies is adopted following the amalgamation. The effects on the financial statements of any changes in accounting policies are reported in accordance with Accounting Standard (AS) 5, Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies.

(15) DECLARATION OF DIVIDEND

15.1 During the period between the Appointed Date and up to and including the Effective Date, the Transferor Companies shall not declare any dividend without the prior written consent of the Board of Directors of the Transferee Company.

15.2 For the avoidance of doubt, it is hereby declared that nothing in the Scheme shall prevent the Transferee Company from declaring and paying dividends, whether interim or final, to its equity shareholders as on the Record Date for the purpose of dividend and the shareholders of the Transferor Company shall not be entitled to dividend, if any, declared by the Transferee Company prior to the Effective Date.

15.3 It is clarified that the provisions of this Clause are intended to ensure that there is no duplication of dividend or other economic benefits to the shareholders of the Transferor Companies and the Transferee Company pursuant to implementation of this Scheme.

PART IV

(16) DISSOLUTION OF TRANSFEROR COMPANY AND GENERAL TERMS AND CONDITIONS

16.1 On the coming into effect of this Scheme, the Transferor Companies shall stand dissolved without winding-up, and the Board of Directors and any committees thereof of the Transferor Company shall without any further act, instrument or deed be and stand dissolved.

(17) VALIDITY OF EXISTING RESOLUTIONS, ETC.

17.1 Upon the coming into effect of this Scheme, the resolutions, if any, of the Transferor Company, which are valid and subsisting on the Effective Date, shall continue to be valid and subsisting and be considered as resolutions of the Transferee Company and if any such resolutions have any monetary limits approved under the provisions of the Act, or any other applicable statutory provisions, then the said limits shall be added to the limits, if any, under like resolutions passed by the Transferee Company and shall constitute the aggregate of the said limits in the Transferee Company.

(18) MODIFICATION OF SCHEME

18.1 The Transferor Companies and the Transferee Company through their respective Boards of Directors including Committees of Directors or other persons, duly authorised by the respective Boards in this regard, may make, or assent to, any alteration or modification to this Scheme or to any conditions or limitations, which the Competent Authority may deem fit to direct, approve or impose and may give such directions including an order of dissolution of the Transferor Company without process of winding up as they may consider necessary, tosettle any doubt, question or difficulty, arising under the scheme or in regard to its implementation or in any manner connected therewith and to do and to execute all such acts, deeds, matters and things necessary for putting this Scheme into effect, or to review the portion relating to the satisfaction of the conditions to this scheme and if necessary, to waive any of those (to the extent permitted under law) for bringing this scheme into effect.

(19) FILING OF APPLICATIONS

19.1 The Transferor Company and the Transferee Company shall, with all reasonable dispatch, make all Applications to the Competent Authority under Chapter XV and other applicable provisions of the Act, for seeking dispensation or for convening and holding of meetings of the Equity Shareholders/ creditors of the Companies and if thought fit, to approve with or without modification this Scheme under the provisions of the Act.

19.2 On the Scheme being agreed to by the requisite majorities of the classes of the members and/or creditors of the Transferee and Transferor Company, the Transferee and the Transferor Company shall, with all reasonable dispatch, apply to the Competent Authority under Chapter XV and other applicable provisions of the Act and for such other order or orders, as the Competent Authority may deem fit for carrying this Scheme into effect and for dissolution of the Transferor Company without winding-up. Upon this scheme becoming effective, the shareholders of the Companies shall be deemed to have accorded their approvals under all relevant provisions of the act for giving effect to the provisions contained in this scheme.

(20) APPROVALS

The Transferee Company shall be entitled, pending the sanction of the Scheme, to apply to any Governmental Authority, if required, under any law for such consents and approvals which the Transferee Company may require to own the Undertaking and to carry on the business of the Transferor Company.

(21) SCHEME CONDITIONAL UPON SANCTIONS, ETC.

21.1 This Scheme is conditional upon and subject to:

(a) The Scheme being agreed to by the public shareholders of the Transferee Company through e-voting in terms of Part I(A)(10)(a) and I(A)(10)(b) of the SEBI Circular, such that the votes cast by the public shareholders of the Transferee Company in favour of the proposal are more than the

number of votes cast by the public shareholders of the Transferee Company against it;

(b) The Scheme being agreed to by the requisite majority of the respective classes of members of the Transferor Company and of the Transferee Company as required under the Act and the requisite orders of the Jurisdictional Competent Authority being obtained;

(c) The receipt of observation letters/no-objection letters from the Stock Exchanges and the Securities and Exchange Board of India, to the extent applicable;

(d) The certified copies of the orders of the Jurisdictional Competent Authority sanctioning this Scheme being filed with the Registrar of Companies, Bangalore; and

(e) such other consents, approvals, permissions and sanctions, as may be necessary or required under applicable law, being obtained by the respective companies.

(22) EFFECT OF NON-RECEIPT OF APPROVALS

22.1 In the event any of the approvals or conditions enumerated in the Scheme is not being obtained or complied with, or for any other reason, the Scheme cannot be implemented, the Board of Directors of the Transferee Company and the Transferor Companies shall mutually waive such conditions as they consider appropriate to give effect, as far as possible, to this Scheme and failing such mutual agreement, or in case the Scheme is not sanctioned by the Competent Authority, the Scheme shall become null and void and each party shall bear and pay their respective costs, charges and expenses in connection with the Scheme.

22.2 Further, in the case of non-receipt of approvals to the Scheme, no rights and liabilities whatsoever shall accrue to or be incurred inter-se by the Transferor Companies or the Transferee Company or their shareholders or creditors or employees or any other person.

(23) COSTS, CHARGES, EXPENSES AND STAMP DUTY

23.1 All costs, charges and expenses (including any taxes and duties) incurred or payable by the Transferor Companies and Transferee Company in relation to or in connection with this Scheme and incidental to the completion of the amalgamation of the Transferor Companies with the Transferee Company in pursuance of this Scheme, including stamp duty on the orders of Competent Authority, if any, and to the extent applicable and payable, shall be borne and paid by theTransferee Company.

(24) MISCELLANEOUS

The Scheme does not contain or provide for any compromise with the creditors of the Transferor Companies and the Transferee Company. Further the Scheme has not been drawn to accommodate any corporate debt restructuring. The Scheme also does not come under the purview of the Competition Commission of India.

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